



FINAL ONLINE SUMMATIVE ASSESSMENT

PROGRAMME	Bachelor of Public Administration Bachelor of Business Administration Bachelor of Commerce in Accounting Bachelor of Commerce in Entrepreneurship Bachelor of Commerce in Project Management Bachelor of Commerce in Retail Management Bachelor of Commerce in Marketing Management Bachelor of Commerce in International Business Bachelor of Commerce in Financial Management Bachelor of Commerce in Supply Chain Management Bachelor of Commerce in Human Resource Management Bachelor of Commerce in Information and Technology Management
MODULE	Microeconomic Essentials
YEAR	One (1)
INTAKE	January 2025 Semester 1
DATE	04 June 2025
TOTAL MARKS	100

SECTION A**[100 MARKS]****Answer ALL the questions.**

Type **ONLY** the letter that represents the correct answer next to the corresponding number in your online answer booklet. E.g. 26 B

QUESTION 1**(4 Marks)**

Table 1 below shows the production of tomatoes and potatoes.

Table 1: production possibilities of tomatoes and potatoes.

Combination	Tomatoes (kg)	Potatoes (kg)
A	0	16
B	6	14
C	8	11
D	10	7
E	12	0

The opportunity cost of increasing the production of potatoes from 7 to 14 units is _____ tomatoes.

- a) 2
- b) 4
- c) 6
- d) 8

QUESTION 2**(4 Marks)**

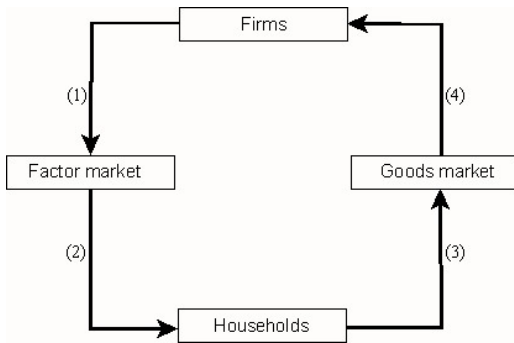
You decide to take the MSC cruise from Cape Town to Zanzibar early January and the trip costs you R47500. While you are on the cruise, you do not report to work where you could have earned R17100. The opportunity cost of the vacation is:

- a) R 64600
- b) R 17100
- c) R 30400
- d) R 47500

QUESTION 3

(4 Marks)

Use the figure below to answer the question that follows.



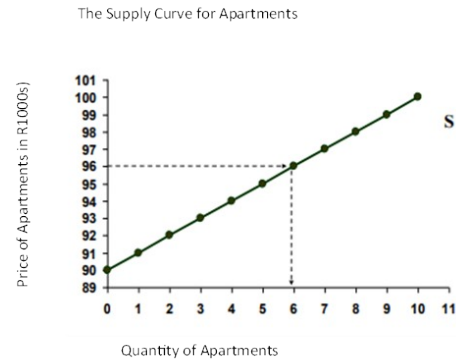
Which one of the following statements is CORRECT?

- a) Flows (2) and (3) represent income.
- b) Flows (2) and (4) represent spending.
- c) Flows (1) and (2) represent spending.
- d) Flows (1) and (3) represent spending.

QUESTION 4

(4 Marks)

The graph below shows the Supply curve for apartments.



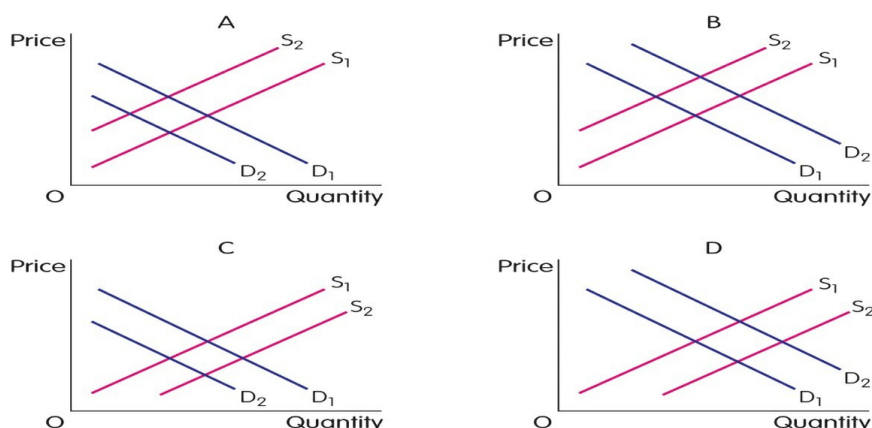
The graph above shows up to ten apartments may be available for sale. Suppose that ten more apartment owners enter the market, for a total of twenty available apartments. These new entrants into the market would be willing to sell their apartments for any price above R90,000. Which of the following statements accurately describes the resulting change in the supply curve?

- a) The supply curve shifts upward.
- b) The supply curve shifts to the right.
- c) The supply curve shifts to the left.
- d) The supply curve becomes longer.

QUESTION 5

(4 Marks)

In the diagrams below, D_2 shows how the demand curve has shifted from D_1 . S_2 shows how the supply has shifted from S_1 . Which diagram in Figure 6.1 best represents how demand and supply for a normal product would shift if the costs of production rise and incomes fall?

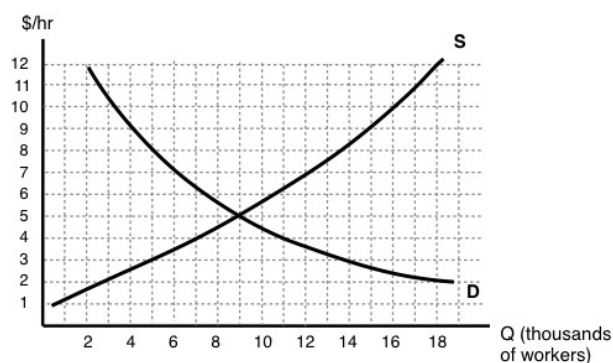


- a) A
- b) B
- c) C
- d) D

QUESTION 6

(4 Marks)

Consider the diagram below, which illustrates the market for low-skilled labour.



If the government introduces a minimum wage law set at \$9 per hour, then, in the new equilibrium, which of the following statements is TRUE?

- I. There will be 11,000 workers willing to work who cannot find work, given the wage.
- II. The number of workers employed will decrease by 11,000.
- III. The number of workers that employers are prepared to hire will decrease by 5,000.

- a) I only.
- b) I and II only.
- c) I, II, and III.
- d) I and III only.

QUESTION 7**(4 Marks)**

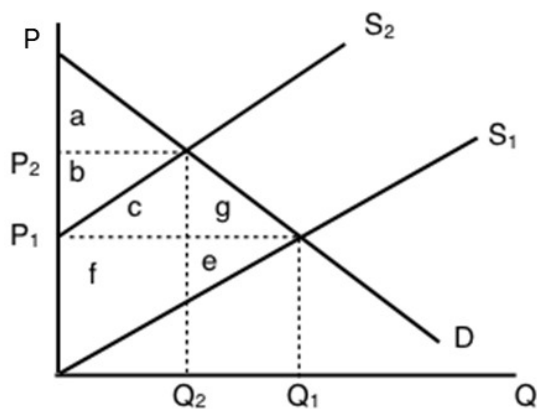
Suppose you are given the following data on demand for a product. The price elasticity of demand when price decreases from R9 to R7 is:

Price (R)	Quantity demanded
10	30
9	40
8	50
7	60
6	70

- a) 0.63.
- b) 1.16.
- c) 1.60.
- d) 2.27.

QUESTION 8**(4 Marks)**

Consider the graph below. If supply decreases from S_1 to S_2 , which area represents the change in PRODUCER surplus?



- a) $b + c - f$.
- b) $a + b + c$.
- c) $b - f - e$.
- d) $c + f + g + e$.

QUESTION 9**(4 Marks)**

Table 9.1 below shows the number of baskets produced by a Bentle Weavers in the short run using three machines and labour. Use this table to answer the question below.

Capital	Labour	Total Product	Marginal Product	Average Product
3	0			
3	1	10		
3	2		15	
3	3			16
3	4			10

What is the maximum value of total product for this firm?

- a) 48
- b) 25
- c) 10
- d) 40

QUESTION 10**(4 Marks)**

In a small rural town, there is a vibrant agricultural market where numerous local farmers gather to sell their fresh produce. Each farmer grows the same type of organic tomatoes. The tomatoes are identical in quality, size, and taste. Buyers have access to information about the market, including the current market price for tomatoes.

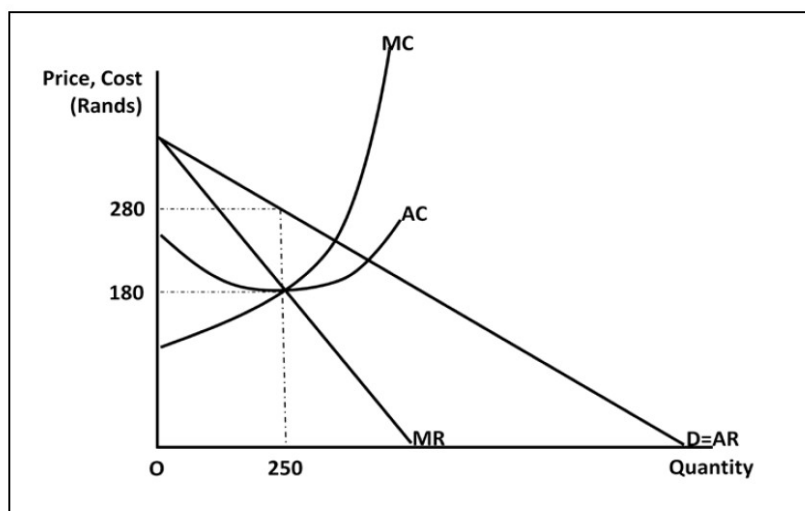
Which of the following statement/s is/are CORRECT?

In the long run equilibrium in a perfectly competitive market, local farmers are operating at . . .

- i. the minimum of their average variable curve.
- ii. zero economic profit.
- iii. the intersection of the marginal cost and average total cost curves.
- iv. supernormal profits.

- a) Only i, ii, iii, iv
- b) Only i and iv
- c) Only iii
- d) Only ii

The Figure below relates to the short-run monopoly equilibrium of Mr John's bakery. Use the figure to answer Questions 11 and 12.



QUESTION 11

(4 Marks)

Mr Johns owns the only bakery in a small town, and he specializes in a unique type of pastry that has gained immense popularity. Due to high demand and limited competition, Mr Johns has a virtual monopoly on this pastry. As a result, he can set the price at a level that maximizes his profits. Mr Johns is currently the sole provider of this pastry in the town, giving him significant market power in the short run.

The monopolist profit per unit is equal to . . .

- a) R100
- b) R250
- c) R280
- d) R460

QUESTION 12

(4 Marks)

The total cost of the monopolist is equal to . . .

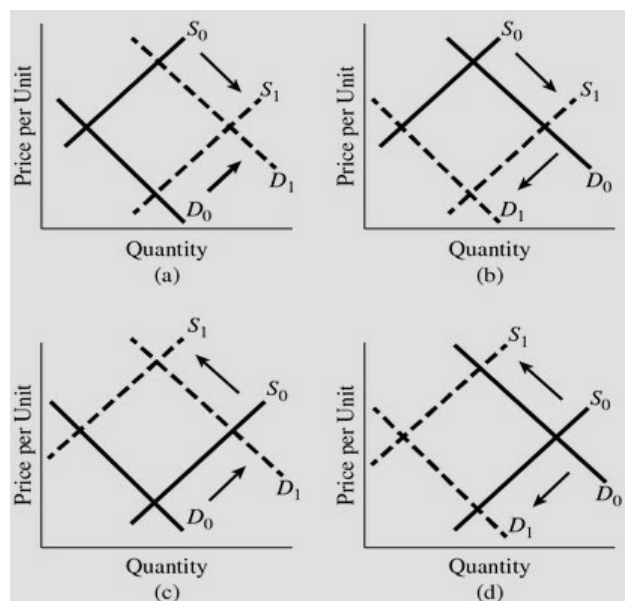
- a) R28 000
- b) R45 000
- c) R18 000
- d) R25 000

QUESTION 13

(4 Marks)

"Intel CEO Pat Gelsinger is putting the pressure on the U.S. government to help subsidize chip manufacturing, insisting the current reliance on plants in Taiwan and Korea as geopolitically unstable."

Figure 13.1



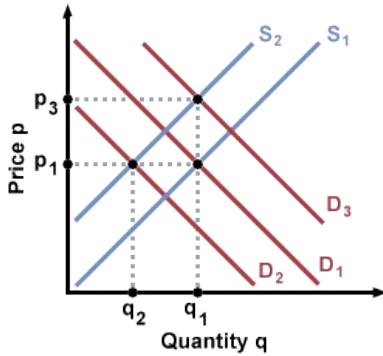
Which panel of Figure 13.1 would represent a situation where the above lobby action is successful given the current increasing usage of chips?

- a) A
- b) B
- c) C
- d) D

QUESTION 14**(4 Marks)**

Suppose you are an economic analyst studying consumer behaviour in a small town. You have gathered data on the demand for various goods in the local market. One of the goods you have been examining is a specific brand of instant noodles, known for its affordability and popularity among budget-conscious consumers. You have plotted the demand and supply curves for these instant noodles as shown in figure 14.1.

Figure 14.1



Assuming that the instant noodles are a representative of an inferior good, which of the following could explain a movement from point p_1q_2 to point p_1q_1 in the figure above?

- a) an increase in the price of a complement
- b) an increase in buyers' income
- c) a decrease in the buyers' income
- d) an increase in the price of the good

QUESTION 15**(4 Marks)**

You have been provided with the following information for a farm producing potatoes in the short run. The output is measured in the number of potatoes produced per hour. Complete the average product and marginal product columns.

Capital	Labour	TP	AP	MP
2	0	0	-	-
2	1	4		
2	2	10		6
2	3	17	5.67	
2	4	25		
2	5	32		
2	6	38		6
2	7	42		
2	8	44		
2	9	44		
2	10	43	4.30	

At which point does the law of diminishing returns set in?

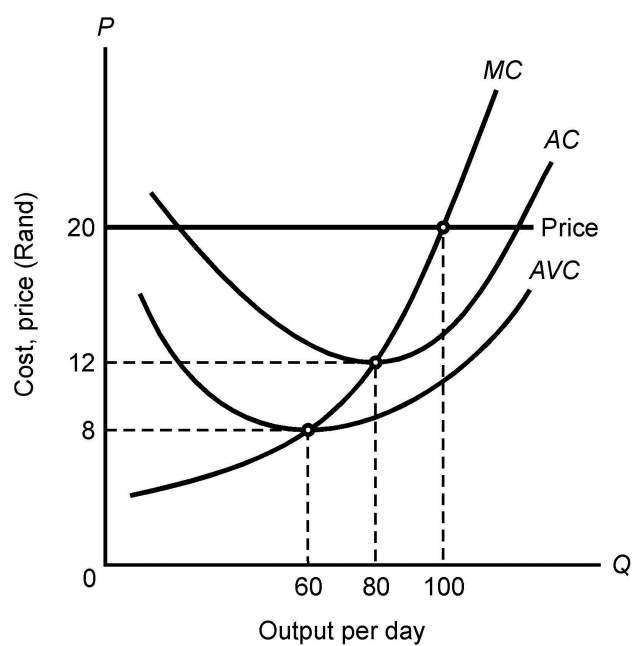
- a) fourth unit of labour
- b) fifth unit of labour
- c) sixth unit of labour
- d) seventh unit of labour

QUESTION 16

(4 Marks)

This question refers to the figure below which shows the price, marginal cost, and average cost curves facing a perfectly competitive firm in the short run.

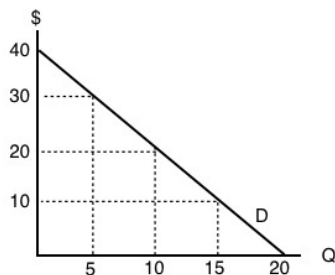
Total costs to the profit-maximising firm in the short run are:



- a) R960
- b) R1 200
- c) greater than R1 200
- d) R720

QUESTION 17**(4 Marks)**

Imagine you are the manager of a small bakery that specializes in homemade pies. You have been analysing the demand for your pies and have come up with the demand curve depicted below based on various price and quantity combinations.



You want to make sure your bakery maximizes its revenue to ensure profitability and sustainability.

At which of the following prices and quantities is revenue maximized?

- a) $P = 40$; $Q = 0$
- b) $P = 30$; $Q = 5$
- c) $P = 20$; $Q = 10$
- d) $P = 0$; $Q = 20$

QUESTION 18

(4 Marks)

Housing prices in the UK are generally very high, particularly in certain areas of the country such as the South East. This makes it difficult for many people to be able to afford to buy their own houses. In England, average house prices are now almost 8 times the average worker's salary; in parts of the West Midlands, the high prices have been caused by demand growing faster than supply.

Source: (Gillespie: 2019)

Figure 18.1 below shows how market conditions have changed in the housing market.

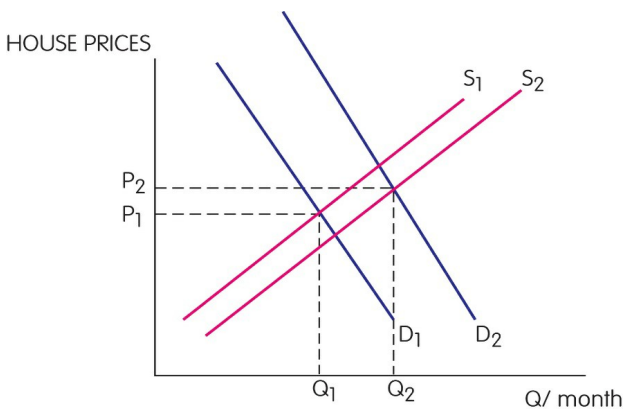


Figure 18.1 market conditions and house prices

Equilibrium has moved from P_1Q_1 to P_2Q_2 . The most likely explanation for the changes shown is a . . .

- a) Fall in mortgage interest rates and an increase in the number of houses built
- b) Fall in mortgage interest rates and a decrease in the number of houses built
- c) Rise in mortgage interest rates and an increase in the number of houses built
- d) Rise in mortgage interest rates and a decrease in the number of houses built

QUESTION 19**(4 Marks)**

Imagine a small bakery named "Sweet Delights" known for its delectable cupcakes. The owner, Sarah, keeps track of her production costs. She recently decided to expand her operations and produce more cupcakes to meet the increasing demand.

Table 19.1 below shows the data she has collected: Complete Table 19. 1 below and use the information to answer the question.

Table 19:1 Production Costs for Sweet Delights Bakery

Output	Total cost	Fixed cost	Variable cost	Marginal cost	Average cost	Average fixed cost
0	30		0			
1			10			
2			18			
3			22			
4	56					
5	64					6
6	76					
7				15		
8					15	

What is the marginal cost of producing the 8th unit of the good?

- a) 4
- b) 10
- c) 12
- d) 29

QUESTION 20**(4 Marks)**

Government health agencies are deeply concerned about the health risks associated with smoking and they are determined to reduce the consumption of cigarettes within the country. They have conducted extensive research and obtained data on the price elasticity of demand for cigarettes. Suppose that the coefficient of the price elasticity of demand for cigarettes is 0,4. If government wants to reduce smoking by 10 percent, by how much should they raise the price of cigarettes?

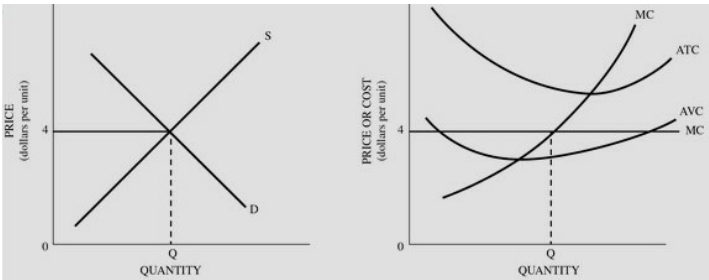
- a) 10 percent
- b) 20 percent
- c) 25 percent
- d) 50 percent

QUESTION 21

(4 Marks)

In the long run, which of the following would NOT be expected in the industry depicted below?

Figure 21.1



- a) Firms will exit the industry.
- b) An increase in total revenue for the remaining firms.
- c) An increase in output for the firms.
- d) A decrease in the marginal revenue for the remaining firms.

QUESTION 22

(4 Marks)

Consider a monopolistically competitive firm that specializes in selling unique and customized balls. The firm has analysed its financial data, and Table 22.1 summarizes its profit situation.

Based on the information in Table 22.1, The firm will earn a profit equal to...

Table 22.1

Price	Demand Data Quantity	Cost Data Output	Total Cost
\$11	6	6	\$48
\$10	7	7	\$52
\$9	8	8	\$57
\$8	9	9	\$63
\$7	10	10	\$70

- a) \$18
- b) \$70
- c) \$72
- d) -\$12

QUESTION 23**(4 Marks)**

Consider the following scenario:

Steven owns his own auto repair shop. He uses his own premises as a workshop. If he had rented his premises to someone else, he would have received R18 000 in rent. He initially invested R50 000 in his business to buy tools and machines. If he had invested the money, he could have earned 10% per year on the money, which is R5 000 per year. If he did not work for himself, he could have earned a salary of R60 000. His expenditure for the year consisted of the following:

Oil, petrol, sparkplugs, fan belts and other materials: R70 000

Salary for two junior mechanics: R35 000

Admin costs: R15 000

Assume that the total revenue of the auto shop is R230 000.

Calculate Steve's economic profit.

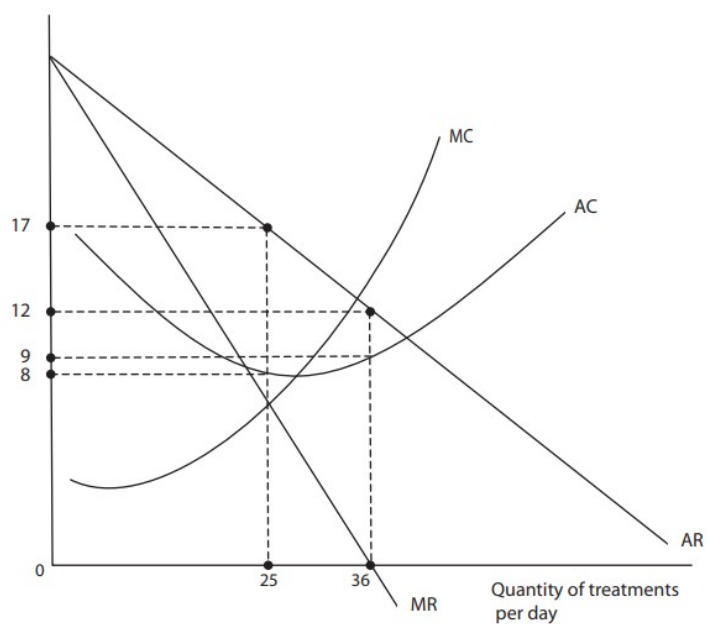
- a) R203 000
- b) R110 000
- c) R27 000
- d) R32 000

QUESTION 24

(4 Marks)

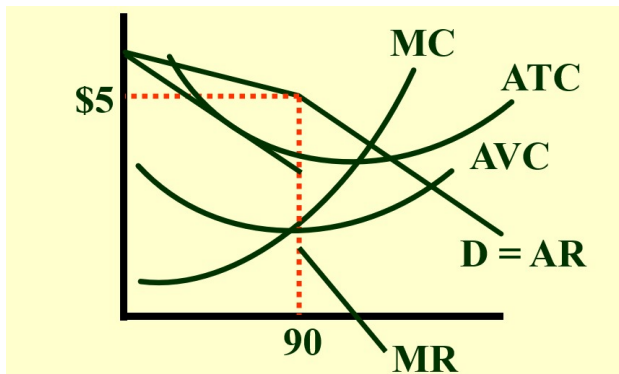
Mr Browns owns and operate a dog grooming. Figure 24.1 shows the cost and revenue curves for a pet grooming session. Initially, Mr Browns sets his price to maximise profits.

Figure 24.1: Costs, Revenue per grooming session



Calculate the change in total supernormal profit if Mr Browns changes his objective from profit maximisation to revenue maximisation.

- a) -R225
- b) -R117
- c) R108
- d) R125

QUESTION 25**(4 Marks)****Figure 25.1**

At the profit maximizing point the firm in Figure 25.1 would . . .

- a) produce 90 units of output
- b) produce more than 90 units of output
- c) produce slightly less than 90 units of output
- d) close to minimize loss

END OF PAPER